Francis Bulimo Osiolo T/A Hazard Control Technologies

Annual Audited Financial Report and Financial statements
For the year ended 31.12.2024

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BUSINESS INFORMATION	Francis Bulimo Osiolo is involved in Business, Occupational Safety and Health Control Standardization and Audit
Proprietor	Francis Bulimo Osiolo
Postal Address	P.O. Box 6986 - 00300, Nairobi
Physical Location	Industrial Area , Nanyuki RD
Auditors	Muli Daniels and Associates P.O. Box 1858 - 00100, Nairobi
Principal Bankers	KCB Bank Safaricom - Mpesa Account

REPORT OF THE AUDITORS TO THE PROPRIETOR

Francis Bulimo Osiolo T/A Hazard Control Technologies

We have audited the financial statements for the year ended 31st December 2024. We have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.

Respective Responsibilities of Proprietor and Auditors

The Director/Proprietor is responsible for the preparation of the financial statements which give a true and fair view of the state of affairs of the business and of the operating results. We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the company within the meaning of International Ethics Standards Board for Accountants Code of Ethics for Professional Accountants (IESBA Code). We have fulfilled our other responsibilities under those ethical requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Our responsibility is to express an independent opinion on the financial statements based on our audit and to report our opinion to you.

Basis of opinion

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance as to whether the financial statements are free from material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the proprietor, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis of our opinion.

Going concern

The company's financial statements have been prepared using the going concern basis of accounting. The use of this basis of accounting is appropriate unless directors either intends to liquidate the company or to cease operations, or has no realistic alternative but to do so. As part of our audit of the financial statements, we have concluded that management's use of the going concern basis of accounting in the preparation of the Company's financial statements is appropriate. Based on our audit of the financial statements, we also have not identified such a material uncertainty. However, neither management nor the auditor can guarantee the company's ability to continue as a going concern. Directors have not identified a material uncertainty that may cast significant doubt on the entity's ability to continue as a going concern, and accordingly none is disclosed in the financial statements.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements. Key audit matters are selected from the matters communicated with those charged with governance, but are not intended to represent all matters that were discussed with them. Our audit procedures relating to these matters were designed in the context of our audit of the financial statements as a whole and in forming our opinion thereon; we do not provide a separate opinion on these individual matters. In addition to the matter described in the material uncertainty related to going concern section, we have determined the matters described below to be the key audit matters to be communicated in our report.

Our Opinion

In our opinion, proper books of accounts have been kept and financial statements, which are in agreement therewith,

give a true and fair view of the state of the financial affairs of the business as at 31st December 2024 and of i profit and cash flows for the year then ended and comply with the International Financial Reporting Standards and the Companies Act, 2015 (Cap 486).

MULI DANI ASSOCIATES
P. O. Box - 00100,
NAIROBI

Muli Daniels & Associates

Muli Daniels & Associates March 24, 2025

REPORT OF THE PROPRIETOR

The Kenyan Law requires the proprietor to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the business as at the end of the financial year and of its operating results for that year. It also requires the proprietor to ensure that the business maintains proper accounting records which disclose, with reasonable accuracy, the financial position of the company. The proprietor are also responsible for safeguarding the assets of the company. The proprietor submits his report and audited financial statements for the year ended 31st December 2024, which disclose the state of affairs of the Business.The directors accept responsibility for the financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgments and estimates, in conformity with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Incorporation

The business is run as a Sole Proprietor Business and is domiciled in Kenya.

Principal activities

Francis Bulimo Osiolo is involved in Business, Occupational Safety and Health Control Standardization and Audit

Financial risk management objectives and policies

The Business activities expose it to a variety of financial risks, including credit and liquidity risks. The Business overall risk management programme focuses on acceptable level of risk and the unpredictability of changes in the business environment and sees to minimise the potential adverse effects of such risks on its financial performance.

Auditors

The auditors, Muli Daniels & Associates, were appointed auditors and have expressed their willingness, continue in office in accordance with section 159(2) of the companies Act (Cap 486)

Directors opinion

The proprietor is of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company as at 31st December 2024 and of its operating results for the year then ended. The proprietor further accept responsibility for the maintenance of accounting records which have been relied upon in the preparation of the financial statements, as well as on the adequacy of the systems of internal financial controls.. Nothing has come to the attention of the proprietor to indicate that the company will not remain a going concern for at least the next twelve months from the date of this statement.

Signed by the Proprietor

Francis Bulimo Osiolo

March 25, 2025

Profit and Loss Account

	2024	2023
		KShs
Turnovers	8,799,920	6,427,522
Less Direct Expenses		
Opening Stock	102,892	67,523
Purchase	2,798,273	2,093,279
Closing Stock	-120,838	-102,892
	2,780,327	**2,057,910**
Gross Profit	6,019,593	4,369,612
Other Income	-	-
Total Income	**6,019,593**	**4,369,612**
Less Expenses		
Staff Costs	364,753	329,807
Adminstrative Expenses	251,269	200,689
Operating Expenses	572,543	530,901
Total Expenses	**1,188,565**	**1,061,397**
Earnings Before Interest, Tax & Depreciation	**4,831,028**	**3,308,215**
Finance Costs	44,514	35,176
Depreciation	510,000	495,000
Profit/ (Loss) before Income Tax	**4,276,514**	**2,778,039**
Tax Income/(Expense)	1,282,954	833,412
Profit/(Loss) after Tax	2,993,560	1,944,627

Balance Sheet

	2024 KShs	2023 KShs
CAPITAL EMPLOYED		
Capital	100,000	100,000
Retained Earnings	10,677,494	7,683,934
Total Shareholders Funds	**10,777,494**	**7,783,934**
Long Term Liabilities		
Directors Loans	-	-
Long Term Debt	-	-
Total Liabilities	**-**	**-**
Total LT Debt and Capital	**10,777,494**	**7,783,934**
REPRESENTED BY		
Non Current Assets		
Property, Plant and Equipment	6,814,000	5,704,000
Total Non-Current Assets	**6,814,000**	**5,704,000**
Current Assets		
Trade Receivables	4,920,948	2,601,817
Inventories	120,838	102,892
Cash in Hand and Bank	492,560	418,476
Total Current Assets	**5,534,346**	**3,123,185**
Current Liabilities		
Borrowings	-	-
Trade and Other Payables	287,898	209,839
Current Tax	1,282,954	833,412
Total Current Liabilities	**1,570,852**	**1,043,251**
Net Current Assets	**3,963,494**	**2,079,934**
Net Assets	**10,777,494**	**7,783,934**

Statement of Changes in Equity

	Capital	Retained Earnings	Total
	KShs	KShs	KShs
At the beginning of the period	100,000	7,683,934	**7,783,934**
Profit/(Loss) for the year	-	2,993,560	**2,993,560**
At the end of the period	**100,000**	**10,677,494**	**10,777,494**

CASH FLOW STATEMENT

	2024 Shs
Cash flows from operating activities	
Profit before income tax	4,276,514
Adjustments for:	
Depreciation on property, plant and equipment	510,000
Operating profit before working capital changes	4,786,514
Decrease / (increase) in:	
Trade and other receivables	(2,319,131)
Tax Payments	(449,543)
Increase / (decrease) in:	
Trade and other payables	78,059
Cash generated from operations	2,095,899
Net cash generated from operating activities	2,095,899
Cash flows from investing activities	
Purchase of property, plant and equipment	(1,110,000)
Investment in Property	(1,620,000)
Net cash (used in) investing activities	(2,730,000)
Cash flows from financing activities	
Capital Injections	-
Net cash generated from financing activities	-
Net (decrease) in cash and cash equivalents	157,694
Cash and cash equivalents at 1st January	418,476
Cash and cash equivalents at 31st December	576,170

Notes forming part of the financial statements (Cont'd)

2	Property, Plant and Equipment	Land and Buildings	Plant & Machinery	Motor Vehicles	Furniture and Fittings	Computers	Total
		KShs	KShs	KShs	KShs	KShs	KShs
	Cost						
	Opening Balance-01.01.2024	5,000,000	350,000	1,250,000	327,000	190,000	**7,117,000**
	Additions	1,500,000	120,000				**1,620,000**
	Disposal of Motor Vehicle						**-**
							-
	Closing Balance-31.12.2024	**6,500,000**	**470,000**	**1,250,000**	**327,000**	**190,000**	**8,737,000**
	Depreciation						
	Opening Balance-01.01.2024	-	131,250	937,500	212,250	132,000	**1,413,000**
	Charge for the year	-	58,750	312,500	81,750	57,000	**510,000**
	Less Depreciation on Disposed Vehicle						**-**
		-	**190,000**	**1,250,000**	**294,000**	**189,000**	**1,923,000**
	Net Book Amount						
	Opening Balance-01.01.2024	**5,000,000**	**218,750**	**312,500**	**114,750**	**58,000**	**5,704,000**
	Closing Balance-31.12.2024	**6,500,000**	**280,000**	**-**	**33,000**	**1,000**	**6,814,000**

Turnovers	**2024**	**2023**
Sales Revenues	8,799,920	6,427,522
Total	**8,799,920**	**6,427,522**

N/B - The client sells on credit and payments are expected within 30 to 90 days. Payments are received via Direct Credits, RTGS, Cash and Mpesa depending on the institution and value of supplies. The cash sales are utilised to support working capital by ensuring that short term obligations are settled as they fall due.

4	**CAPITAL**	**2024**	**2023**
	Proprietor Capital Injection	100,000	100,000
		100,000	**100,000**

Notes forming part of the financial statements (Cont'd)

		2024	2023
		KShs	KShs
5	**Trade and other Receivables**		
	Accounts Receivables	4,920,948	2,601,817
		4,920,948	**2,601,817**
6	**Cash and cash equivalents**		
	Bank balance	283,821	297,637
	Cash in Hand including Mpesa Balances	208,739	120,839
		492,560	**418,476**
7	**Account payables**		
	Trade Payables	287,898	209,839
	Value Added Tax (VAT)		
	Accruals		
		287,898	**209,839**
8	**Borrowings**		
	Non Current		
	Bank Loan		
	Directors Loans		
		-	**-**
	Current		
	Bank Loans	-	-
	Bank Overdraft	-	-
		-	**-**
		-	**-**
9	**TAX COMPUTATION**		
	Profit as the Accounts	4,276,514	2,778,039
	Add Back Non Allowable Deduction- Depreciaton	510,000	495,000
		4,786,514	3,273,039
	Less - Allowable Expenses - Wear & Tear Allowance	510,000	495,000
	Taxable Income	4,276,514	2,778,039
	Corporate tax @ 30%	1,282,954	833,412
	Intallment tax paid	-	-
	Less withholdings Tax	-	-
	Tax Payable	1,282,954	833,412
10	RETAINED EARNINGS		
	Brought forward	7,683,934	5,739,307
	Profit for the year	2,993,560	1,944,627
	Carried forward	10,677,494	7,683,934

Schedule of Operating Expenditure	2024	2023 KShs
1. Staff Costs		
Salaries	302,893	273,689
HR Expenses	30,930	23,028
Medical Expenses	30,930	33,090
Total Staff Costs	**364,753**	**329,807**
2. Adminstrative Expenses		
Telephone, Postages & Delivery	102,903	72,573
Printing and Stationery	47,090	39,743
Legal Fees	-	-
Internet Expenses	65,286	56,537
Professional Fees		-
Audit	15,000	15,000
Misclaneous Expenses	20,990	16,836
Total Administrative Expenses	**251,269**	**200,689**
3. Establishment Costs		
Marketing, Adverstising & Tendering	40,829	34,542
Transport & Travel	120,900	109,289
Other General Expenses	23,009	20,939
Insurance	38,648	30,389
Licences & Permits	12,500	12,500
Rent & Rates	320,380	308,263
Water & Electricity	16,277	14,979
Total Operating Expenses	**572,543**	**530,901**
4. Finance Expenses		
Bank Charges	16,527	12,087
Interest Expense	27,987	23,089
	44,514	**35,176**
5. Depreciation/Armotisation of Fixed Assets		
Depreciation	510,000	495,000